

	2000	2001	2002
Red Hat			
Total return (%)	-94.1	13.6	-16.8
Net earnings (\$ millions)	-43	-87	-140
Brown Shoe			
Total return (%)	-4.6	28.2	49.5
Net earnings (\$ millions)	36	36	-4

Note: Total returns for calendar year; net earnings for fiscal year.

Source: www.morningstar.com

What have we learned? The market scoffs at Graham's principles in the short run, but they are always revalidated in the end. If you buy a stock purely because its *price* has been going up—instead of asking whether the underlying company's *value* is increasing—then sooner or later you will be extremely sorry. That's not a likelihood. It is a certainty.